

Course: F514 Finance and Society

Prepared by: Shaira Katuwal

Topic: Boeing Inc. and Shareholder Value Maximization

Boeing's crisis forces a deeper question than whether a company is just "cutting corners." It forces us to ask what we actually mean when we talk about the firm, its responsibilities, and the role of markets in disciplining corporate behavior. In class, we discussed various answers to this question through the works of Friedman, Stiglitz, and Edmans. Boeing sits uncomfortably at the center of that debate, and to answer the three main areas of concern today, it is crucial to first establish my stance on "what is the role of an agent?" given all three perspectives.

At first glance, Boeing looks like a failure of corporate ethics; a company that is failing as moral decision makers. Boeing has constantly been a news content highlighting safety lapses leading to the tragic loss of life, regulatory intervention, and billions of dollars in destroyed value. Yet in my view, framing the problem purely in moral terms misses something important, which is that Boeing did not operate outside markets but rather their decisions were shaped by competitive pressure and investor expectations. This is a perfect example of market inefficiency where it is hard to decide if markets themselves failed to price safety, governance, and long-term risk correctly, and if so, what does that imply about the firm's role in society as well as within its business.

Question 1: Agency View of the Firm - Long-term vs Short-term

First, I want to analyze Friedman's view of the firm and highlight how that aligns with Boeing's business model. Friedman says the firm exists to maximize profits for shareholders, as long as it operates within the bounds of law. He argues that managers are agents, not moral philosophers. Under this framework, I agree that Boeing's behavior can be partially understood, even if not defensible. Facing competition from Airbus, Boeing was under pressure to deliver a fuel-efficient aircraft quickly and cheaply. Developing a new plane from scratch would have required a large upfront investment and delayed cash flows. Modifying the existing 737 platform was faster, cheaper, and more predictable from a financial standpoint. Outsourcing production and pushing suppliers to meet aggressive cost and timeline targets also fit this same logic.

Hence, if a manager's job is to respond to market signals, Boeing's managers were doing exactly that. In return, investors rewarded efficiency, margins, and capital returns, while safety investments that did not immediately show up in earnings became harder to justify. From a strict Friedman-style agency perspective, delaying or reducing those investments could be seen as serving shareholder interests, at least in the short run.

Implementing Friedman's framework into the business model, yes, I believe Boeing fulfilled its duties to maximize shareholder value for the short term. But what about long-term value? This framework assumes that markets discipline firms effectively and that the law captures socially unacceptable behavior, but from Boeing's experience, it is clear that it challenges both these assumptions. This is

where I lean more towards Stiglitz's view on the market. Stiglitz offers a very different view of markets, where he emphasizes market failures, information asymmetries, and externalities, and Boeing's case fits perfectly into this critique.

Safety risk in aviation is difficult for markets to observe and put a price on in advance. Passengers cannot assess aircraft design, investors fail to correctly estimate internal engineering trade-offs, and regulators often rely on firm disclosures and lag behind innovation. As a result, the market systematically underprices safety risk until something goes wrong, and I strongly believe this is exactly what happened with Boeing. For years, cost-cutting and outsourcing improved their financial metrics without triggering immediate penalties, but the firm did not realize that the risks were hidden. When failures finally surfaced, the consequences were extreme and sudden; shareholders could not gradually price in higher risk, they repriced the firm all at once, and hence destroyed its market value.

This is not a moral failure of managers alone but also a perfect example of market failure. Boeing was able to externalize risk to passengers, regulators, and future shareholders because markets could not accurately price that risk in real time. In such a setting, relying solely on shareholder value maximization is not neutral and can actively lead to inefficient and dangerous outcomes, which is very evident with recent cases associated with the company.

One thing to point out is also the governmental duties in all this. Governmental regulation is meant to correct these failures, but Boeing's case shows the limitations of regulation when firms are complex, and regulators' dependence on the firms they oversee. This is why government intervention came after lives were lost, not before and that timing made the most difference.

My final verdict, serving stakeholders can be consistent with shareholder value only if the focus is genuinely for the long-term. A firm is not just a collection of contracts or a vehicle for short-term profits, it is an organization whose culture, trust, and reputation are also equally valuable assets. For Boeing, safety should not be a "nice to have" stakeholder concern, it should be at the center of the firm's ability to generate long-term value. Once trust with airlines, regulators, and the public was damaged, Boeing's competitive position weakened, leading to production delays, regulatory oversight, and lost orders. Hence, Boeing's business model, which also contemplates cutting investments in safety etc., is not consistent with shareholder maximization as it sacrificed long-term shareholder value by failing to correctly evaluate ethical costs into their financial model. The problem was not that Boeing cared too much about shareholders; it cared about the wrong shareholders at the wrong point in time.

Question 2: Internalizing Stakeholders Sitting on the Board's Chair

This logic seems clear in hindsight, consistent with the standard "according to the book" market definition, that the duties of the business are to act in the best interest of shareholders. However, implementing a stakeholder-focused model inside Boeing would not be that easy. These are some core problems that I believe will arise immediately:

- **Agency problems:** Rooted in human evolution for survival, the “rational choice theory” states that acting in self-interest is considered a fundamental aspect of human nature. Shareholders are nothing but a group of individuals with their unique priorities, perspectives, and end motives. Some investors prioritize long-term stability, while others focus on near-term returns. Large shareholders with significant influence may resist strategies that reduce margins or slow production, even if those strategies reduce long-term risk, because to them, the short-term return is more valuable. Such a difference in opinion and interest will be the first hurdle Boeing would have to overcome.
- **Governance challenge:** Expanding the firm’s objectives beyond financial metrics raises questions about accountability. How should managers be evaluated if success is not just measured quantitatively? How would you put a number to qualitative factors like safety, employee well-being, and customer trust? Without clear measures, stakeholder models can be dismissed as vague or inefficient. Proper thought into KPIs that work for the firm’s new business model, as well as governmental regulations, will be very important and an addition to the challenges.
- **Operational complexity:** Aerospace manufacturing already involves long supply chains and tight timelines. Adding stakeholder objectives without changing incentives, risks creating confusion rather than improvement. With changing priority, there is a risk of delaying or overcomplicating the already inefficient operational flow that Boeing has.
- **Culture clash:** Boeing’s shift away from engineering-led decision-making toward financial targets did not happen overnight. It formed as a result of years of trial and error, some unfortunate events over the timeline, and a constant adaptiveness caused by market reactions. Putting shareholders above all will mean, in some way, reversing their culture. This requires redistributing authority within the firm, and that kind of change is difficult, time consuming, and risky even when the case for it is strong.
- **Company size challenges:** Furthermore, as a massive multinational, Boeing coordinates across thousands of employees, suppliers, regulators, and markets. Due to the size of the business, it is more likely to face slower decision-making, accountability dilution, and challenges in aligning diverse teams around these non-financial goals. Implementing a stakeholder-oriented approach would require systemic changes across governance, operations, and culture, an unavoidable pushback given the company’s size and scope.

Question 3: Market-Based Solutions

Boeing’s failure does not mean that markets are irrelevant, it suggests they need to be designed better. This is where I support Edmans’ framework on business and strongly believe Boeing should focus on purpose over profit maximization for long-term success and for reshaping its reputation.

First and most importantly, safety and quality must be priced into incentives. Executive compensation and supplier contracts should not just be based on delivery volumes but should also reflect defect rates and safety outcomes. If cutting corners increases risk, that risk should show up directly in payoffs. Meaning, if a plane has defects and/or delays because of quality issues or safety problems,

that should directly hurt bonuses and contract payments too. In a sense, promoting performance-based incentives to employees and contractors. Second, the firm also needs to rebuild internal decision-making around its technical expertise. If engineers are given more authority and incentives, they will feel empowered to slow production when necessary, and hence the outcomes will change. In all this, the government still has a strong role. The main goal for them will be setting and enforcing safety standards that markets struggle to price. When regulation alone is not enough, firms must internalize the cost of failure before regulators force them to. This way, the government doesn't just act as a minimal referee when bad outcomes are seen but as an active shaper and rule setter that helps in the moral front of overall business success.

Conclusion

Based on how I see it, Boeing's crisis sits at the intersection of Friedman, Stiglitz, and Edmans. It shows the power of agency incentives, the reality of market failures, and the importance of long-term stakeholder thinking. Boeing pursued a narrow version of shareholders' value maximization in a setting where markets could not correctly price risk. The result was not just moral failure, but also economic inefficiency.

If there is a lesson here, it is that shareholder value, stakeholder responsibility, and moral judgment are not separate conversations. My biggest takeaway is that, in industries where failure is catastrophic, there are different ways of describing the same problem, making it challenging to determine what the truly ethical and financially sound position is.

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